FILED
AUG 07 2026
FRESNO COUNTY CLERK
By ____ DEPUTY

ORDINANCE NO. 2026-07

AN ORDINANCE OF THE CITY OF FOWLER, ADDING A NEW CHAPTER 11 TO TITLE 3 OF THE FOWLER MUNICIPAL CODE WHICH ESTABLISHES A NEW TRANSACTIONS AND USE (SALES) TAX AT THE RATE OF 0.5% (1/2 ¢)

WHEREAS, pursuant to Article XIIIC of the California Constitution, Section 53720 et seq. of the California Government Code, the City has the authority to levy a general tax, including, but not limited to, increasing an existing general tax; and

WHEREAS, Article XIIIC, Section 2, of the California Constitution requires that the election at which a general tax increase is submitted to the electorate shall be consolidated with a regularly scheduled general election for members of the governing body of the local government, except in cases of emergency declared by a unanimous vote of the governing body; and

WHEREAS, Part 1.6 (commencing with Section 7251) of Division 2 of the California Revenue and Taxation Code, and Section 7285.9 of the California Revenue and Taxation Code, authorizes a city to adopt a transactions and use tax ordinance, which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose; and

WHEREAS, Revenue and Taxation Code Section 7285.9 requires that any ballot measure/ordinance establishing or increasing a transactions and use tax must be approved by a 2/3 vote of all members of the City Council and by a majority vote of the qualified voters of the City voting on the ballot measure; and

WHEREAS, by Resolution No. 2854, the City Council approved this Ordinance by a 2/3 vote of all its members; and

WHEREAS, Tuesday, November 3, 2026, is the date of the general municipal election, which has been consolidated with the statewide general election occurring on the same date, at which members of the City Council will be elected;

WHEREAS, The City Council of the City of Fowler has ordered submission of a ballot measure to the voters at the November 3, 2026, General Municipal Election proposing a one-half of one percent (0.50%) Transactions and Use Tax for general municipal purposes.

NOW, THEREFORE, THE PEOPLE OF THE CITY OF FOWLER, CALIFORNIA, DO HEREBY ORDAIN AS FOLLOWS:

Section 1. Recitals. The recitals set forth above are true and correct and incorporated herein by this reference.

Section 2. New Chapter 11. Chapter 11, entitled "City of Fowler Public Safety, Street and Infrastructure Maintenance, and Essential City Services Transactions and Use Tax", is hereby added to Title 3 of the Fowler Municipal Code as follows:

Chapter 11. City of Fowler Public Safety, Street and Infrastructure Maintenance, and Essential City Services Transactions and Use Tax

Section 3-11.01. Title.

This Chapter shall be known as the "City of Fowler Public Safety, Street and Infrastructure Maintenance, and Essential City Services Transactions and Use Tax". The City of Fowler hereinafter shall be called "City." This Chapter shall be applicable in the incorporated territory of the City.

Section 3-11.02. Operative Date.

"Operative Date" means the first day of the first calendar quarter commencing more than 110 days after the adoption of this Chapter. For purposes of Revenue and Taxation Code section 7265, this Chapter shall be considered adopted on the date of the election in which it is approved by the qualified voters of the City.

Section 3-11.03. Purpose.

This Chapter is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

(a) To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2 which authorizes the City to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

(b) To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

(c) To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

(d) To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this Chapter.

Section 3-11.04. Contract with State.

Prior to the operative date, the City shall contract with the California Department

of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

Section 3-11.05. Transactions Tax Rate. For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the City at the rate of 0.50% of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this Chapter.

Section 3-11.06. Place of Sale.

For the purposes of this Chapter, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

Section 3-11.07. Use Tax Rate.

An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of this Chapter for storage, use or other consumption in said territory at the rate of 0.50% of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

Section 3-11.08. Adoption of Provisions of State Law.

Except as otherwise provided in this Chapter and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this Chapter as though fully set forth herein.

Section 3-11.09. Limitations On Adoption Of State Law And Collection Of Use Taxes.

In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxation Code:

(a) Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefor. However, the substitution shall not be made when:

(1) The word "State" is used as a part of the title of the State Controller, State Treasurer, State Treasury, or the Constitution of the State of California;

(2) The result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this Chapter.

(3) In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

(i) Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code, or;

(ii) Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

(4) In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Revenue and Taxation Code.

(b) The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

(1) "A retailer engaged in business in the District" shall also include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the State by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of Title 26 of the United States Code and the regulations thereunder.

Section 3-11.10 Permit Not Required.

If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this Chapter.

Section 3-11.11. Exemptions And Exclusions.

(a) There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

(b) There are exempted from the computation of the amount of transactions tax the gross receipts from:

(1) Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

(2) Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

(i) With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

(ii) With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

(3) The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this Chapter.

(4) A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this Chapter.

(5) For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(c) There are exempted from the use tax imposed by this Chapter, the storage, use or other consumption in this City of tangible personal property:

(1) The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

(2) Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

(3) If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this Chapter.

(4) If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this Chapter.

(5) For the purposes of subparagraphs (3) and (4) of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(6) Except as provided in subparagraph (7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

(7) "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address

in the City.

(d) Any person subject to use tax under this Chapter may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

Section 3-11.12. Amendments.

All amendments subsequent to the effective date of this Chapter to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, shall automatically become a part of this Chapter, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this Chapter.

Section 3-11.13. Enjoining Collection Forbidden.

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this Chapter, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

Section 3-11.14. Severability.

If any provision of this Chapter or the application thereof to any person or circumstance is held invalid, the remainder of the Chapter and the application of such provision to other persons or circumstances shall not be affected thereby.

Section 3-11.15. Effective Date.

Pursuant to Elections Code Section 9217, this chapter shall be considered adopted on the date that the City Council declares that the voters of the City of Fowler have approved the ordinance enacting this Chapter by a vote of no less than a majority of votes cast by the electors voting at the election held on Tuesday, November 3, 2026, and shall go into effect on July 1, 2027.

Section 3-11.16. Termination and/or Suspension Date.

(a) The tax imposed by this chapter shall continue in effect for thirty (30) years unless and until an ordinance extending the levy of the tax is approved by a majority of the qualified voters of the City voting on the question at an election. The City Council shall not extend the tax without such voter approval, except as required by state or federal law. Following certification of voter approval of such extension, the City shall notify the California Department of Tax and Fee Administration and complete all actions

necessary to extend administration and collection of the tax.

(b) Notwithstanding any other provision of this chapter, the tax, or portion thereof, imposed by this chapter shall be suspended, during any period in which imposition of the tax, or portion thereof, would cause the combined rate of transactions and use taxes applicable within the City to exceed the limitation established by Revenue and Taxation Code section 7251.1. The City Manager shall consult with the California Department of Tax and Fee Administration ("CDTFA") to determine the earliest date on which the tax, or portion thereof, may lawfully become operative or resume collection. Any commencement, suspension, or resumption of collection shall occur on the first day of the calendar quarter and in accordance with applicable law and CDTFA administrative requirements.

(c) Further, the tax imposed by this Chapter shall automatically terminate on the first day of the first calendar quarter commencing more than 110 days after all of the following have occurred:

(1) The voters of Fresno County have approved a countywide transaction and use tax measure intended to succeed or replace Measure C at the November 3, 2026, General Election, or at any subsequent election authorized by law; and

(2) The California Department of Tax and Fee Administration has established the operative date for administration and collection of the successor countywide transactions and use tax; and

(3) The City Council has determined by resolution, following a duly noticed public meeting, that the successor countywide transactions and use tax is intended to succeed or replace Measure C, and related municipal purposes intended to be funded by this Chapter.

Following adoption of the resolution described above, the City shall notify the California Department of Tax and Fee Administration and complete all actions necessary to terminate administration and collection of the tax imposed by this Chapter.

(d) Termination of this Chapter shall not affect any tax liability incurred before the operative date of termination or the authority of the City or the California Department of Tax and Fee Administration to audit, collect, refund, or otherwise administer taxes attributable to any period before the operative date of termination.

Section 3-11.17 Oversight Committee

Should the tax established by this Chapter be approved, the City Council, in compliance with the requirements of the Fowler Municipal Code and City policies and/or procedures, may enact an Oversight Committee.

Section 3-11.18 Amendment by City Council

The City Council has the right and authority to amend this chapter, to further its purposes and intent (including but not limited to amendment for more efficient administration as determined by the City Council), in any manner that does not increase a tax rate or otherwise constitute a tax increase for which voter approval is required by Article XIII C of the California Constitution, pursuant to Elections Code Section 9217.

Section 3. Council Authority to Amend. The City Council has the right and authority to amend this Ordinance, to further its purposes and intent (including but not limited to amendment for more efficient administration as determined by the City Council), in any manner that does not increase a tax rate, or otherwise constitute a tax increase for which voter approval is required by Article XIII C of the California Constitution, pursuant to Elections Code Section 9217.

Section 4. Environmental Compliance. The City finds the adoption of this Ordinance is not subject to the California Environmental Quality Act ("CEQA"), because the enactment of this Ordinance: (1) does not constitute a "project" as defined by CEQA pursuant to California Code of Regulations, Title 14, Sections 15060(c)(3) and 15378; (2) will not result in a direct or reasonably foreseeable indirect physical change in the environment pursuant to California Code of Regulations, Title 14, Section 15060(c)(2); and (3) is covered by the general rule that CEQA applies only to projects which have the potential for causing a significant effect on the environment pursuant to California Code of Regulations, Title 14, Section 15061(b)(3). This Ordinance establishes a transactions and use tax, provides for the creation of City funding mechanisms and City fiscal activities, includes organizational or administrative activities of government which will not result in direct or indirect physical changes to the environment, and does not involve any commitment to any project which may result in a potentially significant physical impact on the environment.

Section 5. Severability. Should any section, subsection, paragraph, sentence, clause, or phrase of this Ordinance be declared unconstitutional or invalid for any reason, such declaration shall not affect the validity of the remaining portions of this Ordinance.

Section 6. Effective Date. Pursuant to Elections Code Section 9217, this Ordinance shall be considered adopted on the date that the City Council declares that the voters of the City of Fowler have approved this Ordinance by a vote of no less than a majority of votes cast by the electors voting at the election held on Tuesday, November 3, 2026, and shall go into effect on July 1, 2027.

Section 7. Execution. The Mayor, or his designee, shall sign this Ordinance and the City Clerk shall attest and certify to the passage and adoption of this Ordinance if a majority of the voters voting in the City's general municipal election on November 3, 2026, approve it.

Section 8. Publication. The City Clerk shall cause this Ordinance to be published in the manner required by law.

PASSED, APPROVED AND ADOPTED BY THE PEOPLE OF THE CITY OF FOWLER at the General Municipal Election held on November 3, 2026.

APPROVED

Juan Mejia, Mayor or Designee

ATTEST

Angela Vasquez, City Clerk

APPROVED AS TO FORM:

Roy C. Santos, City Attorney
Burke, Williams & Sorensen, LLP